investments for power generation alone, in a 2 ^{0} C temperature rise scenario, would involve $370 billion from 2010 to 2020; $630 billion between 2020 and 2030; and $760 billion between 2030 and 2050.

Domestic Resources and Mechanisms

The UNFCCC (The latest available data of actual emissions available is upto 2010 only) notes that Kazakhstan, Cyprus, Malta, and Belarus did not have reduction commitments for 2008-2012 under the KP. Canada, Japan, New Zealand and Russia are not Parties to the second commitment period to the **KP** (Kyoto Protocol): Countries that are undergoing the process of transition to a market economy. For any representative country say for Australia, the table shows that in the first commitment period, Australia could collectively increase emissions by 8 per cent between 2008-2012 (taking the base year as 1990), whereas for the second KP round, Australia would need to reduce its emissions by 0.5 per cent collectively between 2013- 2020. The last two columns of the table measure progress towards the first KP target which shows that Australia's actual emissions increased by 30 per cent between 2008-10. This indicates that for the period between 2010-2012, Australia's emission should have been reduced by 22 per cent for it to be within the target.

CARBON TAXES AND ENVIRONMENTAL SUBSIDIES

A recent study 'Preliminary Modeling Studies on Carbon Taxes and GDP Loss' was conducted by the Ministry of Environment and Forest, GoI. The results of the study are given as below –

Undiscounted cumulative GDP loss: Carbon tax is *revenue positive* when it involves no adjustment to other tax rates in the economy. It is *revenue neutral* when other tax rates are adjusted so that the revenue inflow from carbon tax is exactly balanced by an equal reduction in yields from reduced taxes.

GoI Expenditure on Environment Promoting Subsidies

Environment-promoting Subsidies	Exp. in 2008-09 (Rs. crore)